

BEESCUitS Schedule

Behavioral & Experimental Economics Stanford-Caltech-UC Student Conference

October 27-28, 2023

Caltech, Baxter Hall of Humanities, B125

DAY 1: October 27, Friday

9.00–9.30 Reception + Breakfast

9.30–10.00 **Polina Detkova** (Caltech)

The Identified Helper Effect on the Frequency of Asks

Abstract: People often hesitate to ask for help even if they are in great need. Promoting asking can mitigate the information asymmetry between those in need and those who are willing to help. I experimentally study one of the potential tools for increasing the frequency of asks — the identifiability of the helper. To make the result widely applicable, I employ a very weak form of identifiability — an uninformative ID number. I find that as much as learning an uninformative ID number increases the rate of asking. I show that the effect is due to the different roles of the beliefs that others ask: an ID greatly reduces their effect on the decision.

10.00–10.30 **Lily Liu** (Stanford)

Gender gap in apologies

Abstract: This project uses a series of online experiments on Prolific to study the gender gap in apologies and its consequences in the labor

market. We hypothesize that women are more likely to apologize relative to men with similar performances. Apologies could be seen as a signal of incompetence which might hold women back in the labor market. In the project, we first document whether women apologize more frequently in a controlled setting. Additionally, we explore the potential reasons behind the gender apology gap. Moreover, we study whether the gender apology gap leads to a gender promotion gap. We recruit participants to make promotion decisions after observing apologies and ask if they infer lower ability from apologies and therefore are less likely to promote women.

10.30–11.00

Break

11.00–12.00

Aldo Lucia (Caltech; JMT)

Robust Estimation of Risk Preferences

Abstract: Obtaining quantitative measures of risk preferences is important because it enables researchers to formulate predictions. However, the stringent assumptions on which these predictions rely often raise concerns about external validity: can these estimated models produce reliable predictions beyond the specific settings from which they were derived? In this paper, we study preferences under risk that may deviate from Expected Utility (EU) by relaxing its fundamental and most disputed assumption: the independence axiom. Rather than committing to a specific non-EU model, we estimate the set of utility functions that characterize the largest subrelation of this preference that satisfies the independence axiom. Without making further assumptions on preferences, this approach allows us to predict choices between two lotteries when one lottery is better for all utilities. We then run an experiment on choices under risk in which we show that despite being less granular, predictions generated with our approach are more accurate out-of-sample than those obtained with specific economic models or machine learning algorithms.

12.00–13.00 Lunch at North Baxter Patio (participants & organizers only)

Marina Agranov will join us

13.00–14.00 **Adrian Wolanski** (UCSD; JMT)

Consistent Social Choice

Abstract: This paper studies when it is possible to link social preferences across groups of different agents. We propose a preference consistency criterion that relates members of a family of social preferences across domains of different agents; this criterion requires preferences are identical on domains differing only by adding agents with choice-independent payoffs. We derive additional domain changes for which consistent preferences are invariant, and test adherence to these predictions in an online laboratory experiment. While consistency rates are reasonably high, we document significant differences in consistency across the different types of domain changes. Additionally, we find that participants tend to choose options with higher inequality/lower inefficiency as domain size increases.

14.00–14.30 Break

14.30–15.00 **Alisher Batmanov** (UCSD)

Stigma, Beliefs & Demand for Mental Health Services Among University Students

Abstract: Mental health, particularly among the youth, is an increasing concern with many students in developing countries not seeking help even when they think they might need it (Healthy Minds Survey, 2022). In times of distress, such as depression or anxiety, individuals would often benefit from counseling or therapy. However, different factors including limited access to mental health services, financial constraints, and perceived stigma often impede them from getting help. For example, in a US survey across 100+ colleges, only 6% of students report they would think less of someone with mental health problems, but they believed that around 40% of people overall might hold that view (Healthy Minds Survey, 2022). To measure and

address potential stigma in mental-health help-seeking behaviors, we conduct a large survey with exogenously assigned treatment among university students in a large university in Mexico, a middle-income country with one of the highest incidences of depression and anxiety among the OECD countries (OECD Indicators, 2021). In addition to capturing the current state of student mental health and beliefs about the presence of perceived discrimination against students in mental distress, we incorporate incentivized questions on elicited beliefs about perceived social stigma related to mental distress among students. For a randomly selected half of respondents we additionally incorporate a “light-touch” perspective-taking exercise that encourages participants to reflect and foster a more open-minded view about seeking mental health assistance, and evaluate its effect on subjects’ willingness to pay for a mindfulness application in an incentive-compatible way.

15.00–15.30

Jack Adeney (Caltech)

Ellsberg III Under Noise

Abstract: The Ellsberg three colour experiment is one of the most well-known counter-examples to Savage’s subjective expected utility theory (SEU). Most literature repeating the experiment has found that experimental participants frequently violate the axioms associated with SEU in favour of ambiguity aversion. However, when allowing for noisy individual decision making, the standard Ellsberg choice task yields biased tests that can reject SEU in favour of ambiguity aversion, despite underlying SEU preferences. This study uses paired valuation tasks to test for SEU in the Ellsberg three colour experiment, while also allowing for exogenous choice shocks to influence a participant’s decision. In addition, we explore the surrounding parameter space to analyse the pervasiveness of ambiguity attitudes in a broader environment.

15.30–16.00

Break

16.00–17.00

Songyu He (UCSD; JMT)

An Axiomatic Test for Salience and Regret Theory

Abstract: Salience and regret theory are two influential models in economics that describe how the manipulation of relative differences between potential outcomes of risky options affects individuals' decisions. In this project, I present axiomatizations for both theories. The axioms for salience theory formulate hypotheses concerning preferences for a larger difference in outcomes compared to the summation of smaller differences that partition it. In contrast, axioms for regret theory ensure that comparisons between outcome pairs maintain the ordinal measure of their utility differences. To validate these axioms, I conduct an online experiment with 800 participants. The current experiment finds supportive evidence for both theories at the aggregate level. However, when focusing on the subjects without stochastic choice patterns, the results indicate substantial heterogeneity.

17.15–...

Pizza & Drinks

DAY 2: October 28, Saturday

9.00–9.30 Reception + Breakfast

9.30–10.00 **Zhenlin Kang** (Caltech)

On the Biology of Rational Inattention: Associating Choice-Inferred Costs with Cognitive Workload

Abstract: Economists estimate information costs from choices under the rational inattention framework. In this paper, we probe the biological validity of choice-inferred information costs. First, we investigate whether within-subject changes in choice-inferred, incentive-driven information costs are associated with eyetracking indicators of cognitive workload. Second, we explore whether between-subject differences in choice-inferred information costs are correlated with subjects' working memory capacities. We find that (1) eye tracking measures of cognitive workload has some explanatory power for within-subject changes in inferred information costs (2) individuals with an inferior working memory capacity has to pay more inferred mutual information costs to acquire the same amount of information.

10.00–10.30 **Yu Hsiang Wang (Sean Wang)** (Caltech)

An Experiment on the Representation Effect of Centipede Games

Abstract: We propose a within-subject experiment to test the dynamic cognitive hierarchy model (DaCH) at the individual level. In the experiment, the same game is represented in three different ways: extensive form (E), non-reduced normal form (NR), and reduced normal form (R). The DCH model predicts the same strategy in E and NR but a different strategy in R. Since the prediction is sensitive to the model parameter, we employ the optimal design approach to select our payoff structures. In particular, we calibrate the model

parameters using pilot data and choose the payoff structures that maximize the separation.

10.30–11.00

Break

11.00–12.00

Nina Buchmann (Stanford; JMT)

Paternalistic Discrimination

Abstract: Women in South Asia struggle to access the labor market, especially in male-dominated occupations, despite recent progress in education and training. We conduct a two-sided field experiment in Dhaka, Bangladesh, to identify a novel form of discrimination, which we term paternalistic discrimination: the preferential treatment of male workers to protect female workers from tasks or jobs perceived as difficult or harmful. We observe real hiring and application decisions for a night-shift job that provides safe worker transport home at the end of the shift. We experimentally vary the perceived welfare of the workers by varying whether we inform employers about this amenity before they make their hiring decisions or whether we inform applicants about this amenity before they make their application decisions. Not informing employers decreases the demand for female labor by 25%—suggesting that employers discriminate paternalistically. On the other hand, not informing applicants decreases the female labor supply by 16%. Combining the results of the two experiments in an equilibrium model, we demonstrate that completely eliminating paternalistic discrimination would reduce the experiments' gender employment and wage gaps.

12.00–13.00

Lunch at North Baxter Patio (participants & organizers only)

Colin Camerer will join us

13.00–13.30

Alena Buinskaya (Caltech)

Integrating community information in research design

Abstract: Subjective beliefs and motives are crucial to many economic decisions, and thus the ability to elicit them is critical to successful product design and policymaking. While the elicitation of numerical variables, such as inflation expectations, is well understood, certain

beliefs are hard to represent numerically. The method of choice for eliciting such beliefs is often surveys, which require that the researcher either know the appropriate answer categories in advance or resort to cognitively costly open-ended questions. We propose a crowdsourcing method to generate potential answers to questions of interest. This approach ensures that the survey is adaptive and does not miss important answers while maintaining a low-cost, multiple-choice format. We apply this method in a controlled environment by means of an online survey and use two measures of quality to evaluate the response lists generated by the experiment participants. We also examine the impact of monetary incentives and the characteristics of respondents on the quality of crowdsourced answers. Our findings suggest that incentives can increase both participants' effort and the quality of their responses, but the effects are relatively small compared to the variation across participants. We find that participants' similarity to the survey respondents in beliefs, political views, and demographics explains a large fraction of the variation in quality.

13.40–16.20

Zoom session

13.40–14.10

Grady Killeen (UC Berkeley)

Are Estimates of the Value of a Statistical Life Unbiased? Experimental and observational estimates in a low-income setting

Abstract: A recent literature has estimated the value of a statistical life (VSL), individuals willingness to pay for a reduction in mortality risk, using revealed preference approaches in developing countries. Revealed preference estimates typically assume that individuals' beliefs about risk are equal to empirical estimates, and they assume that mortality risk is exogenous conditional on covariates. This paper reports the results of a study designed to experimentally estimate VSL and compare experimental to observational estimates. The experimental approach instruments for elicited beliefs using a randomly assigned information treatment, eliminating the need to use empirical

risk estimates. I find that urban Kenyans have a low willingness to pay for safety. My preferred point estimate of VSL is just 2022 USD PPP \$218, and I can reject values above USD PPP \$420 with 95% confidence. Observational VSL estimates fall outside of experimental confidence sets, suggesting empirical risk estimates may be a poor proxy for beliefs.

14.10-14.40

Alex Lenk (Stanford)

Knowing me, “knowing” you, is it the best I can do? A School choice experiment with Bulgarian families

Abstract: Parents tend to prioritize their perspective over their child’s when making choices consequential for the child’s future socio-economic outcomes. We conduct a field experiment to better understand why: do parents not care enough to incorporate their child’s perspective or do they not incorporate it enough because they do not perfectly know what it is? We examine this question in the high-stakes setting of the centralized high school application process in Bulgaria. We find that parents are imperfectly informed about their children’s preferences over high school tracks and specialized subjects, despite such information being accessible to them. In particular, parents underestimate how their perspective differs from the child’s. We design an informational intervention that conveys children’s preferences to the parent in a clear and transparent way: we share with parents their child’s personal ranking of schools. We find that the intervention significantly increases the alignment of the parent’s perspective with the child’s by 23%. The effect persists on the official school applications families submit to the Ministry of Education a few weeks after the intervention. Through the lenses of a novel structural model of weighted ordinal preference aggregation, we estimate that informational frictions reduce the weight on child’s perspective more than 2-fold. We quantify that about 60% of the effect is due to parents updating their beliefs about their child’s perspective. The remaining

40% seem to be driven by parents placing a higher focus on their child's perspective. Our study motivates further understanding the causes of such informational frictions and how to alleviate them.

14.40-15.00

Break

15.00-16.00

Suhani Jalota (Stanford)

What Works for Her?: How Work-from-Home Digital Jobs Affect Female Labor Force Participation

Abstract: Women labor force participation in urban India remains particularly low at 20% with social norms constraining women's paid work. We design job opportunities for women that comply with existing social norms through digital smartphone-based tasks that can be flexible, part-time and from or near home. Through a six-armed randomized experiment in Mumbai with 3,300 married women, we provide some of the first experimental evidence to show how providing paid work-from-home jobs can increase female labor force participation. Even when the job is offered close to home within the same community, in women-only centers where children are permitted and there is minimal safety or travel cost involved, work-from-home is twice as preferred as working from local centers. Further, we find that the women who work-from-home have lower productivity, possibly due to multitasking. We test for the mechanisms behind the strong preference to work from home, including observability of the woman's work status, convenience, multi-tasking, and permissions to leave the house for work. The experiment also demonstrates that wage levels only have small effects on job take-up rates for women, especially when the job is at home, even when the wages are increased five-fold, but can affect their intensive margin decisions. Finally, we observe how providing social norm-compliant employment to women may affect their take-up of any type of job in the future, and the effects of this employment on women's overall agency, mental health, dignity, and social norms.